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CASE #	CASE NAME	HEARING NAME
CVRI2600459	MEDINA VS SUBARU OF AMERICA, INC.	DEMURRER ON COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER $35,000) OF OSCAR MEDINA BY DCH RIVERSIDE-S, INC.

Tentative Ruling: The Court SUSTAINS the Demurrer with thirty days' leave to amend.

Defendant DCH Riverside-S, Inc. demurs to the second cause of action, negligent repair, on the grounds that it fails to state facts sufficiently. Negligent repair is a form of negligence. "In order to state a cause of action for negligence, the complaint must allege facts sufficient to show a legal duty on the part of the defendant to use due care, a breach of such legal duty, and the breach as the proximate or legal cause of the resulting injury." (*Bellah v. Greenson* (1978) 81 Cal.App.3d 614, 619.) "Ordinarily, negligence may be alleged in general terms, without specific facts showing how the injury occurred, but there are 'limits to the generality with which a plaintiff is permitted to state his cause of action, and ... the plaintiff must indicate the acts or omissions which are said to have been negligently performed. He may not recover upon the bare statement that the defendant's negligence has caused him injury.'" (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 527.)

Here, no facts are alleged other than Defendant breached its duty, failed to exercise due care, and caused damages. (Complaint, ¶29-32.) However, Plaintiff does not identify how he was damaged. There are no other allegations to support a negligence claim.

Furthermore, the economic loss rule requires a purchaser whose product is not working properly be limited to a contract remedy; to avoid the economic loss rule, the purchaser must "demonstrate harm above and beyond a broken contractual promise." (*Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988.) This is to avoid contract and tort law from "dissolving one into the other." (*Ibid*.)

In *Robinson*, the plaintiff was a helicopter manufacturer which used sprag clutches manufactured by the defendant. (*Id*. at 985.) Under federal law, aircraft manufactures must obtain a "type certificate" such that every aircraft must be produced in accordance with the certificate. (*Id*.) The defendant changed its sprag clutches without notifying the FAA or the plaintiff. (*Id*. at 985-986.) The plaintiff later had problems with the sprag clutches cracking, and as a result, was required to recall and replace all the sprag clutches. (*Id*. at 986.) The plaintiff's fraud claim was based on the false certificates of conformance that were mandatorily required. (*Id*. at 990.) The court found that the economic loss rule did not bar the fraud claims because they were independent of the breach of contract claim. (*Id*. at 991.) Here, Plaintiff pleads no facts demonstrating an independent breach.

In *North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 770, a manufacturer entered into an oral contract with a packaging/shipping company; the company contaminated the chemicals. The manufacturer's customer discovered the contamination and was forced to stop production; the customer made a claim on the manufacturer which the manufacturer paid. (*Id*. at 770-771.) The manufacturer filed an action against the company and included a negligence claim because the company held itself out as qualified to properly bag, package and transport the chemicals. (*Id*. at 771-772.) The trial court sustained the company's demurrer without leave to amend, and the manufacturer filed a writ petition. (*Id*. at 772.) The company argued that it could not be held liable for negligence because the claim sounded in contract. (*Id*. at 773-774.) The court recognized that where the negligent performance of a contract is nothing more than failure to perform the express terms of the contract, the claim is for breach of contract. (*Id*. at 774.) The court, however, explicitly stated that "accompanying every contract is a common-law duty to perform with care, skill, reasonable expedience, and faithfulness the thing agreed to be done, and a negligent failure to observe any of these conditions is a tort, as well as a breach of contract." (*Ibid*.)

The court discussed the application of the rule in cases involving the sale of goods or products. (*Id*. at 778-781.) However, in cases involving the performance of services, the court relied heavily on *J'Aire Corp. v. Gregory* (1979) 24 Cal.3d 799. (*Id*. at 781-783.) The court focused on the fact that *J'Aire* allowed recovery of expected economic losses where a special relationship existed between the parties despite the lack of a contractual privity. (*Id*. at 782.) The issue depended on the six *Biakanja* factors: (1) the extent the transaction was intended to affect the plaintiff, (2) the foreseeability of harm, (3) the degree of certainty of injury, (4) the closeness of the connection between the defendant's conduct and the injury, (5) the moral blame, and (6) the policy of preventing future harm. (*Id*.) The court then recognized that the reasoning of *J'Aire* applied to cases where the parties are in contractual privity, where the contracts were for services. (*Id*. at 783.) Here, Plaintiff has not pled any facts demonstrating a special relationship with this Defendant. Plaintiff has not pled any contractual relationship with this Defendant. Plaintiff has not pled this outside of performing the warranty claim—not negligence in repairing the vehicle.

Plaintiff has not identified any damages. (CCP §425.10(b) ("If the recovery of money or damages is demanded, the amount demanded shall be stated.").) At this point, Plaintiff has not pled around the economic loss rule. The Court SUSTAINS the Demurrer with thirty days' leave to amend.